Amazon (NASDAQ: AMZN) | HOLD Recommendation

2026 BICs Equity Research Challenge

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Pitched Price: $209 | Probability-Weighted Price Target: $220.96 | Implied Upside: 5.7%

INVESTING CLUB

Business Overview

Founded in 1994, Amazon is the world's largest e-commerce and cloud computing company, operating across online retail, cloud infrastructure (AWS), digital advertising, logistics, and subscription services with 1.58M employees globally

Key Value Drivers

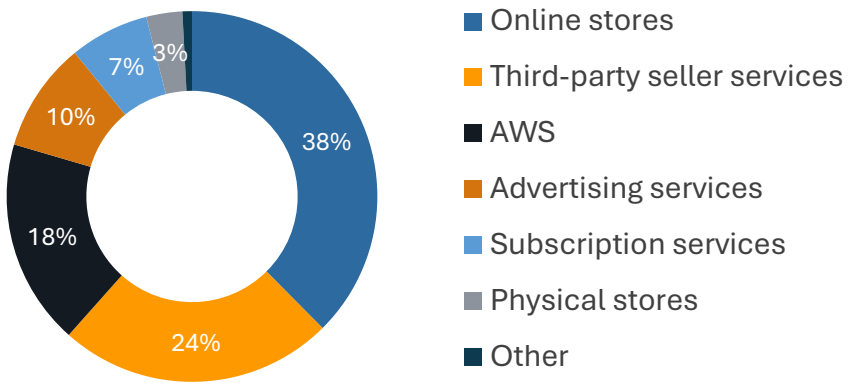
AWS & AI Infrastructure: Leading cloud platform, accelerating to 24% growth in Q4 2025 (fastest in 13 quarters). Custom silicon business (Trainium + Graviton) exceeds $10B annualized run rate with triple-digit YoY growth. Trainium2 has 30-40% better price performance than comparable GPUs, with 100K+ companies using it. Bedrock is now a multi-billion dollar run rate business with 60% QoQ growth. $244B revenue backlog, up 40% YoY. Planned ~$200B in CapEx, mostly for AWS.

Advertising: $21.3B in Q4 revenue, growing 22% YoY, adding $12B+ of incremental revenue in FY2025 alone. Full-funnel approach powered by trillions of shopping, browsing, and streaming signals. Prime Video ads now reach 315M average ad-supported viewers globally (up from 200M in early 2024). New AI-powered ads agent automates campaign creation and optimization, saving weeks of work

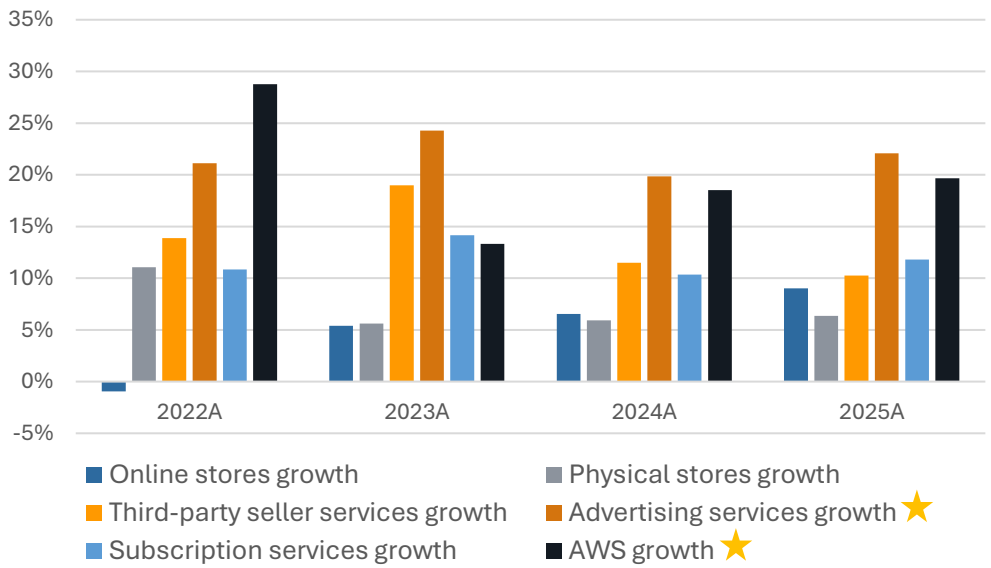
3P Marketplace & Logistics: 3P seller unit mix reached 61% in Q4. Worldwide paid units grew 12% YoY (highest quarterly growth in 2025). Nearly 70% more items delivered same-day YoY in the U.S., with ~100M customers using same-day delivery. Regionalized U.S. fulfillment network expanded from 8 to 10 regions. 1M+ robots deployed across the network. Third consecutive year of achieving fastest-ever delivery speeds while simultaneously reducing cost to serve.

Subscriptions & Prime Ecosystem: 300M+ customers used Rufus (AI shopping assistant); users are 60% more likely to complete a purchase. Amazon Now (sub-30-minute delivery) driving 3x shopping frequency in India. Perishable grocery delivery available same-day in 2,300+ U.S. cities, with grocery customers shopping 2x+ more often. 100+ new Whole Foods stores planned.

FY2025 Revenue Breakdown



Revenue Growth by Segment



Industry & Competitive Landscape

Amazon operates as one of the Magnificent 7 companies that has products across e-commerce, cloud infrastructure, digital advertising industries, and more. Despite intense rivalry from mega-cap retail and tech peers, the company leverages its logistics scale and infrastructure to maintain its moat.

Industry Analysis Using Porter's 5 Forces

Threat of New Entrants (Low): Replicating Amazon's logistics network (warehouses, robotics, cargo planes, etc.) requires loads of CapEx.

Threat of Substitutes (Med): Consumers can substitute with brick-and-mortar retailers (Walmart), DTC software (Shopify), or competing entertainment platforms (Netflix, YouTube).

Bargaining Power of Suppliers (Low-High): Low for third party sellers heavily reliant on Buy Box and Prime distribution. High for advanced hardware as Amazon needs NVIDIA for AI chips until Trainium chips scale.

Bargaining Power of Buyers (High): Retail consumers face low switching and have high price sensitivity. Enterprise cloud clients increasingly use multi-cloud strategies across AWS, Azure, and GCP to avoid lock-in.

Competitor Rivalry (High): Amazon faces intense competition in every segment: retail (Walmart, Target), cloud (Azure, GCP, Oracle), advertising (Meta, Google), etc.

Competitive Landscape

Recent Industry Trends

Accelerated Rollout of AI Infrastructure: Amazon is pushing custom Trainium chips and Amazon Bedrock to reduce NVIDIA dependency and capture enterprise AI market.

Hyperscaler CapEx Arms Race: Amazon faces intense competition from Meta, xAI, Oracle, Microsoft, Google to compete for AI infrastructure.

Strong momentum: Strong growth in non-AI workloads as businesses continue moving from on-premices to the cloud.

Amazon's Economic Moat

Network Effects: Amazon FBA/AWS marketplaces and Advertising network create virtuous cycle where buyers attract sellers.

High Switching Costs: customers want to run their AI workloads where the rest of their applications and data are.

Economies of Scale: Amazon possesses logistics real estate, exclusive content rights, and proprietary AWS chips that are hard to easily mimic.

Investment Thesis Summary

We believe the market is fairly pricing Amazon, however, over the long term, Amazon's dominance as the #1 AI infrastructure player, rapid advertising growth, and position in expanding markets will provide favorable upside.

Thesis Point 1	**AI Development**: AWS is cementing its position as the foundational AI infrastructure layer, reaccelerating cloud growth through custom Trainium chips, Project Rainier, and Amazon Bedrock (hosting Anthropic's Claude). Anthropic is approaching $19B in annualized revenue, while Trainium chips have surpassed $10B in ARR with triple-digit YoY growth.
Thesis Point 2	**Advertising Growth**: Amazon is the only major ad platform owning the full funnel from impression to purchase. First-party data immunity to Apple's ATT (App Tracking Transparency), combined with expanding DSP reach (Roku, Netflix, Disney+, Spotify), positions it to take share from Meta and Google.
Thesis Point 3	**Frontier Hardware advancements (Robotics & Satellite Internet)**: Heavy investments in automation and space technology will reduce long-term operating costs while creating new revenue streams. Over 1 million Proteus robots in fulfillment centers nearly match 1.1 million human employees. The rollout of Amazon Leo targets a satellite internet TAM projected at $22.6B by 2030, a frontier market currently validated by SpaceX's expected $1.5T IPO.

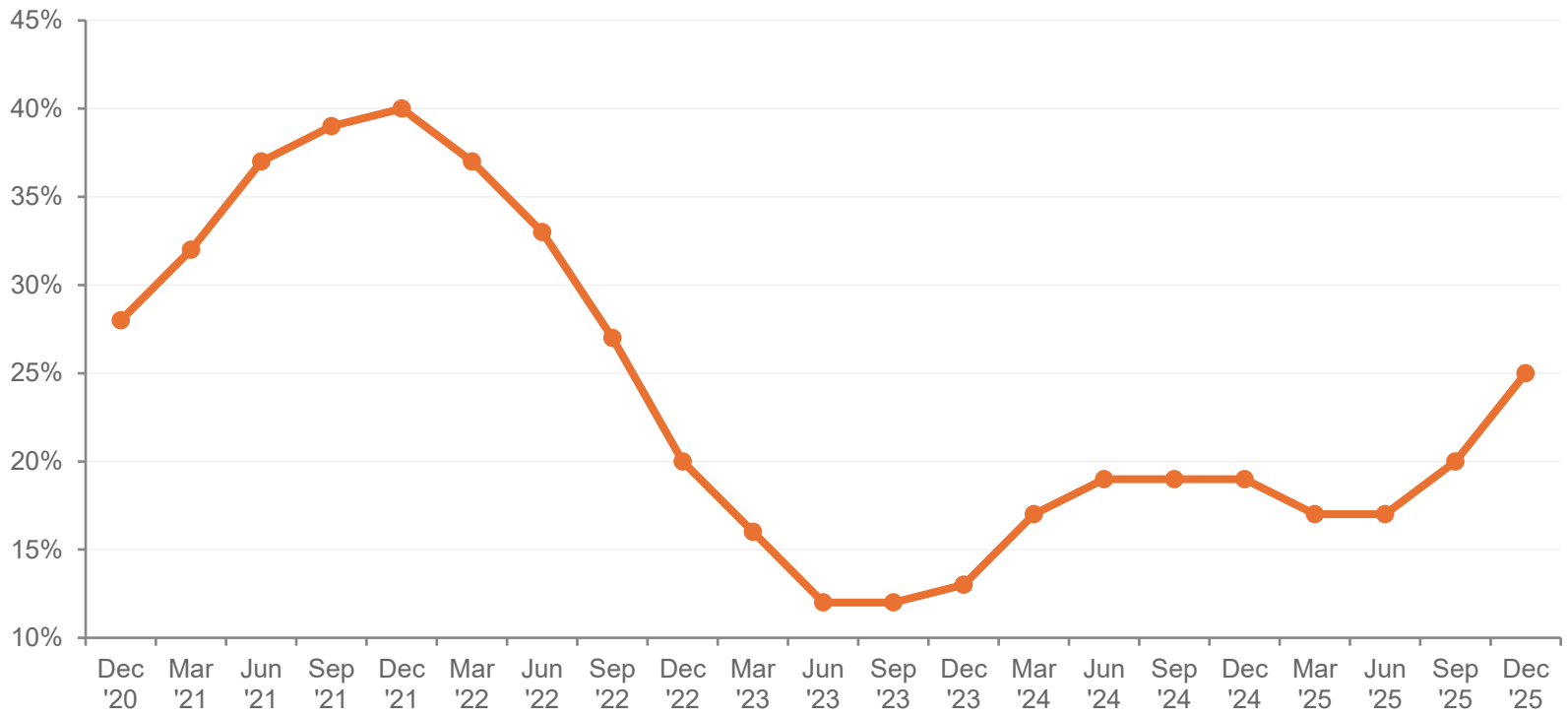
Downside Case	Base Case	Upside Case
$159.17	$209.26	$264.96
-24% downside	+0% upside	+26% upside
10% probability	60% probability	30% probability

Weighted Average Price Target: $220.96

Thesis 1: AI Development

AWS is cementing its position as the foundational AI infrastructure layer through its Anthropic partnership and custom silicon, successfully reaccelerating cloud revenue growth.

Amazon – AWS Revenue Growth (% YoY)



The hyperscaler narrative that was previously dominated by Microsoft Azure's OpenAI integration has now shifted, as AWS revenue climbs back above 20% quarterly growth.

AWS's multi-model Bedrock approach, offering access to Anthropic's Claude, Meta's Llama, and Mistral alongside Amazon's own models, has been driven by enterprise AI workloads, proving the AWS moat.

Enterprises prefer platform flexibility over single-model lock-in, and AWS's model-agnostic strategy positions it to capture demand regardless of which foundation model ultimately wins.

Custom AI Chips – Graviton, Trainium, & Inferentia

While competitors are reliant on NVIDIA GPUs, Amazon has begun deploying its proprietary AI chips. Vertical integration offers significantly better price to performance for AI training and inference.

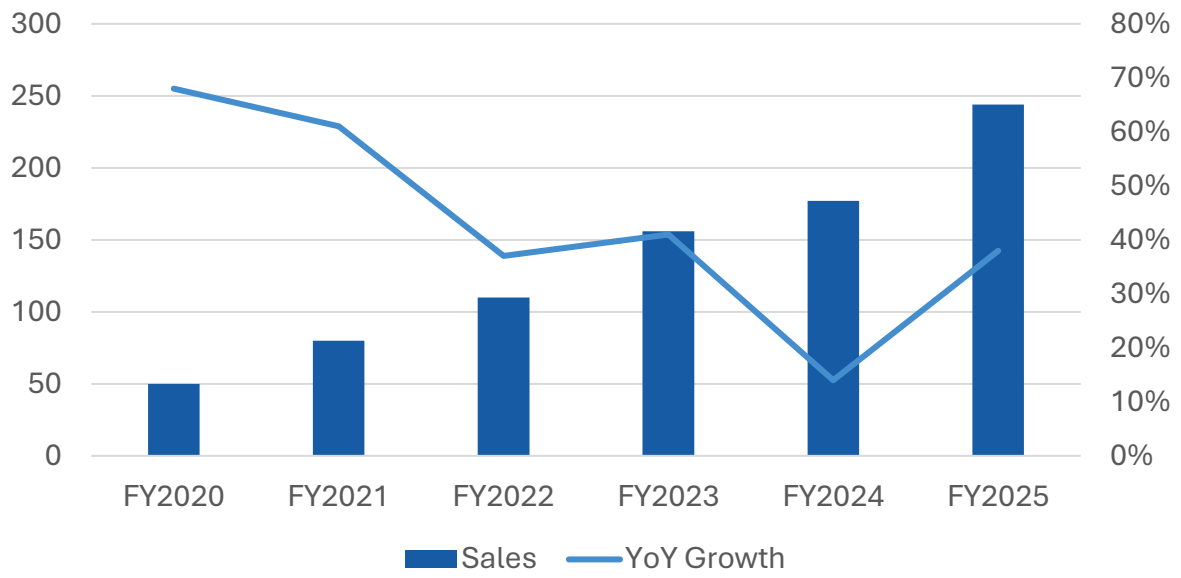
> "our chips business inclusive of Graviton and Trainium is now over $10 billion in annual revenue run rate growing triple digit percentages year over year"

Andy Jassy, CEO – Q4 2025 Earnings Call

Thesis 1: AI Development

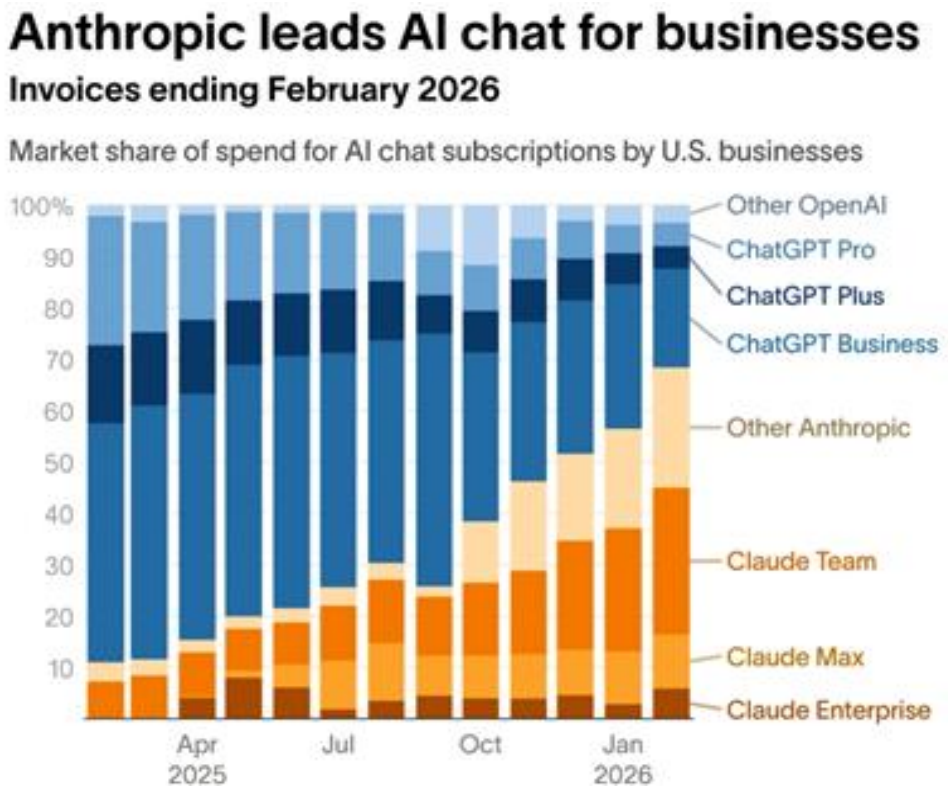
AWS is cementing its position as the foundational AI infrastructure layer through its Anthropic partnership and custom silicon, successfully reaccelerating cloud revenue growth.

AWS Backlog (in billions $)



AWS backlog surged 38% year-over-year to $244B in Q4 2025, outpacing AWS revenue growth of 20%, signaling that customer demand is growing faster than Amazon can currently deliver.
Average remaining contract length of 4.1 years provides multi-year revenue that lowers the risk of the aggressive CapEx cycle.
Backlog growth re-accelerated from 14% in 2024 to 38% in 2025, driven by enterprise AI commitments including a large OpenAI deal, with Amazon indicating more deals are in the pipeline. As $150B+ in planned 2026 CapEx comes through, this contracted backlog should convert into accelerating AWS revenue growth, supporting our estimate of 24% growth in 2026.

Anthropic Partnership Driving Enterprise Adoption



Amazon's backing of Anthropic (hosted by Amazon Bedrock) has secured AWS's position in the enterprise AI race.

Claude has rapidly overtaken ChatGPT in U.S. business subscription spend by early 2026. This adoption has caused Anthropic's annualized revenue to scale 5x in just half a year, approaching $19B.

Thesis 2: Advertising Growth

Amazon's advertising business is growing 22% year-over-year with estimated operating margins between 50-70%, making it the strongest near-term driver for margin expansion as it takes up a larger share of the revenue mix.

Why Amazon Ads?

First-Party Purchase Data: Trillions of shopping, browsing, and streaming signals across 300M+ U.S. customers. Highest-intent ad audience in digital. Direct access to Amazon users looking to spend.

Full-Funnel Advertising: Sponsored Products (largest offering), Prime Video ads (315M global viewers), Twitch, Fire TV, and third-party programmatic via Amazon DSP.

AI-Powered Optimization: Ads Agent automates campaign creation, targeting, and optimization. Creative Agent generates full campaigns from concept to completion

Largest ads offering: Sponsored Products advertising

Key Partnerships

Netflix: Direct access to Netflix premium ad inventory via Amazon DSP

Roku: 80M connected TV households largest authenticated connected TV footprint in the U.S., exclusively through Amazon DSP

Disney: Real-time Ad Exchange integration across Disney+, ESPN, and Hulu with combined audience insights

Spotify: access to 400M+ monthly ad-supported listeners globally

Sirius XM: Reach 160M monthly digital listeners across Pandora and SoundCloud

Comparison Between Existing Ad Giants

Focus: social data & interest/behavior targeting
Reach: ~3.3B Users
Strength: creating demand, introducing new products
Weakness: no first-party purchase data at scale

Focus: intent-based (keyword) targeting & large network
Reach: ~4.8B Users
Strength: captures high-intent users actively searching
Weakness: captures intent at the *research* stage, not the purchase stage, weak ad attribution

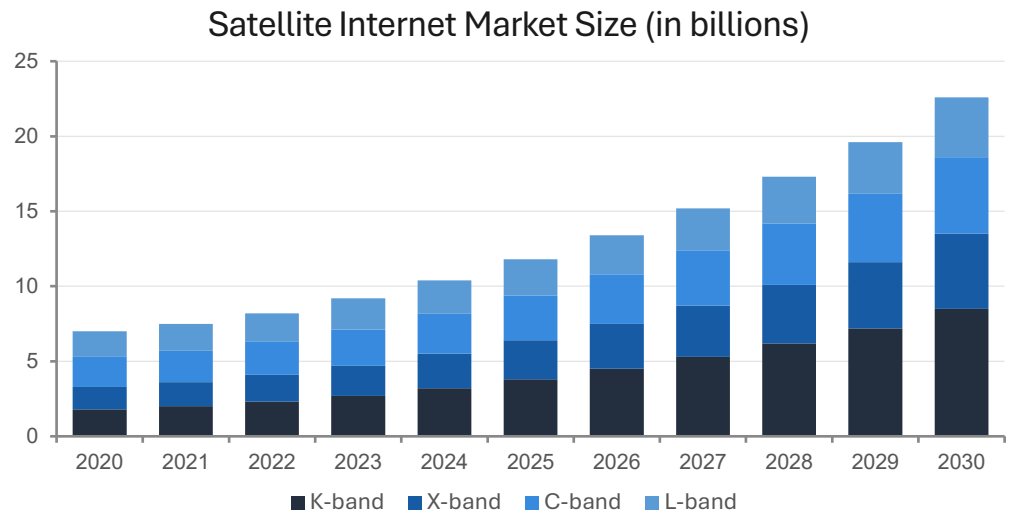
Focus: ad -> purchase on same platform
Reach: 300M+ US supported users; 315M Prime Video viewers
Strength: trillions of first-party shopping, browsing & streaming signals; can directly measure ad conversion
Weakness: limited to Amazon marketplace, brand advertising still earlier-stage

Amazon is the only major ad platform that owns the entire funnel from impression to purchase, enabling ad attribution that Google and Meta cannot have. While competitors lost signal quality after Apple's ATT changes, Amazon's first-party purchase data is valuable. This structural advantage, combined with rapidly expanding DSP partnerships (Roku, Netflix, Disney+, Spotify), positions Amazon to capture an increasing share of brand advertising budgets.

Thesis 3: Frontier Hardware Advancements (Robotics & Satellite Internet)

Heavy, long-term investments in advanced robotics, space technology, and autonomous mobility will reduce long-term operating costs while unlocking massive new addressable markets.

Amazon Leo (Satellite Internet, formerly Project Kuiper)

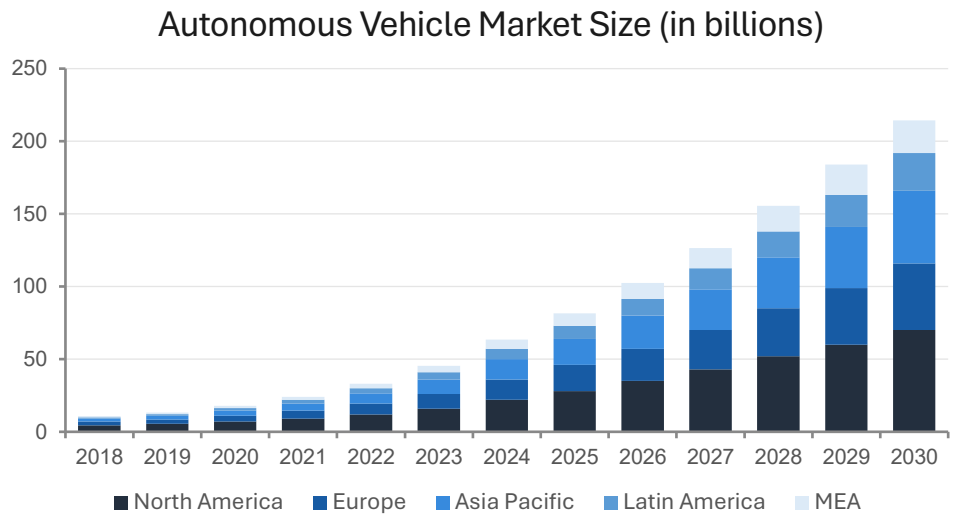


Operational Progress: 180 satellites launched to date with 20+ launches planned in 2026 and 30+ in 2027. Leo Ultra is the fastest satellite internet antenna ever built. Commercial launch expected in 2026, with select enterprise customers already testing.

Commercial Traction: Dozens of agreements already signed, including AT&T, DIRECTV Latin America, and JetBlue. Enterprise-grade offering with advanced encryption and secure private networking that bypasses public internet and connects directly to AWS.

Strategic Positioning: Amazon is building a proprietary global broadband network. Competes with SpaceX's Starlink but differentiates through enterprise-grade AWS connectivity and targeting underserved populations that tie into the Prime/AWS ecosystems.

Zoox (Autonomous Robotaxis)



Serve both ride-hailing and last-mile delivery systems.

Leverage Amazon's AWS infrastructure and custom silicon to train models at scale.

Proteus (Warehouse Robots)

Rapidly deploying Proteus, its fully autonomous mobile robot, to handle heavy lifting and repetitive tasks. Targeted to reduce incidents by 50% by 2028, which will lower the massive costs associated with Amazon's 150% historical warehouse turnover rate.

Catalysts, Risks, and Mitigants

Catalysts	• AWS remains the leading cloud provider with ~31% market share, and AI/ML workload migration represents a multi-year growth runway as enterprise adoption accelerates. Amazon's partnership with Anthropic drives massive growth and secures compute workloads for further AWS revenue. • Amazon's advertising business is the fastest-growing segment, with unique first-party purchase data creating a durable competitive advantage over META and GOOGL. • The $200B capex cycle is front-loaded. As investment cools down after 2026, FCF should inflect sharply, meaning the stock will look a lot cheaper on a free cash flow basis than it does today.

Risks	• The FTC antitrust trial and increasing global regulatory scrutiny could force structural changes to Amazon's marketplace or data practices.
	  • **Mitigant**: Amazon's diversified revenue streams mean no single regulatory action threatens more than one segment. Prior antitrust actions against big tech (Google Shopping, Apple App Store) resulted in manageable operational adjustments.
	
	• AI Circular financing: Hyperscalers (Amazon) and chipmakers invest billions into AI startups (Anthropic, OpenAI), who then recycle those funds into purchasing investors' hardware and cloud services. If AI monetization fails, this could result in losses.
	  • **Mitigant**: Development of custom chips and data centers show Amazon is building the full process. Amazon's advertising, 3P service, and retail provide diversified income streams. Amazon's high profitability is independent of performance from partnerships and stakes in AI startups.
	
	• Intense competition in retail (Walmart, Shein, Temu) and cloud (Azure, GCP) pressures margins across Amazon's two largest segments simultaneously.
	  • **Mitigant**: Prime membership, fulfillment network, and third-party marketplace creates switching costs. AWS's enterprise contract backlog provides revenue security in the future.

Social Impact & Stakeholder Considerations

Environmental

Reached 100% renewable energy in 2023, 7 years ahead of schedule

Renewable energy leadership

Largest corporate buyer of renewable energy globally (solar, wind, nuclear)

100K Rivian EDVs targeted by 2030; Rivian's largest shareholder (~17%)

Nuclear innovation: $500M invested for carbon-free data center power

AWS data center efficiency

1.15 PUE rating with "microclimate" cooling innovation

Cloud is 4.1x more efficient than on-prem; can reduce footprints by 99%

53% toward 2030 Water Positive goal: billions of liters to back communities

Governance

1. Institutionalizing sustainability

$2B Climate Pledge Fund: 58+ active investments across 8 countries in decarbonization tech

AWS efficiency: Cloud infra is 4.1x more efficient than on-prem; up to 99% carbon reduction

2. Industry leadership & network effect

The Climate Pledge: co-founded by Amazon; net zero by 2040

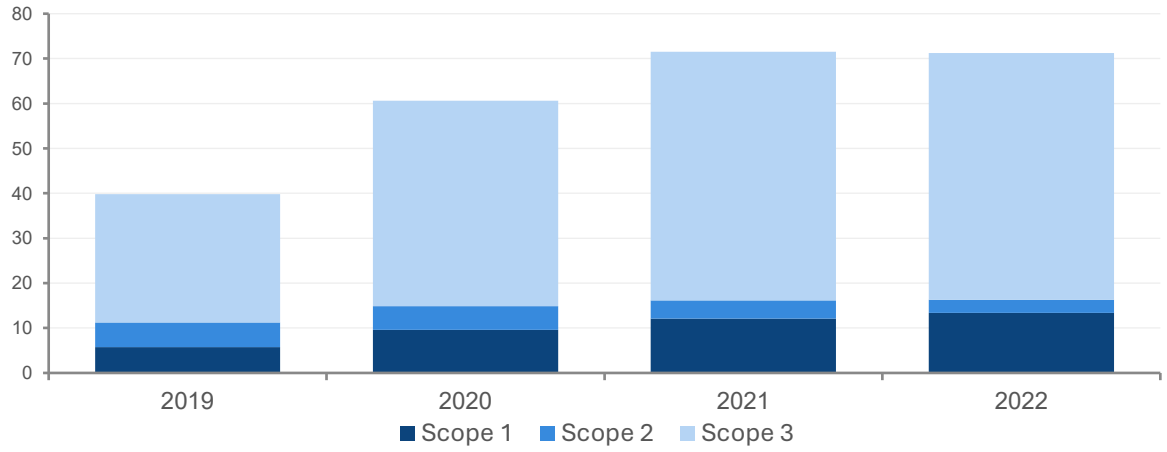
640+ signatories across 49 countries (Microsoft, Mercedes-Benz, etc.)

3. Strategic infrastructure & nature-based assets

Energy security: Largest corporate renewable buyer for 5 consecutive years; 34+ GW across 600+ projects

Progress Made

Amazon's carbon footprint (CO_2e, million metric tons)



Scope 1: Fossil fuels, refrigerants

Direct emissions from owned/controlled sources. Rose from 5.76 to 13.40 MMT (2019-2022), driven by fleet expansion

Scope 2: Purchased electricity

Fell from 4.07 to 2.89 MMT between 2021-2022

Scope 3: Indirect sources

Includes corporate purchases, Amazon-branded product emissions, building construction, servers/hardware, vehicles and packaging
Declined slightly from 55.36 to 54.98 MMT, decreasing total by 0.4% YoY

Social Impact & Stakeholder Considerations

Annual warehouse turnover ~150%, with avg. tenure dropping from 2.7 to 1.8 years. Amazon invested $1.6B in 2025 to counter this trend. (SOCIAL 2.99/10)

1. Addressing the turnover challenge

Compensation & benefits

Raised average pay to $23/hr and expanded benefits to include "Day 1" eligibility for all programs including health, 401(k), and career counseling

Upskilling for longevity

$2.5B Future Ready 2030 initiative provides fully prepaid tuition for high-demand degrees (Nursing, Data Science, IT), incentivizing employees to stay longer while preparing them for the AI economy. Already 100K+ enrollees across 40+ educational partners.

2. Automation & "workforce parity"

The milestone

As of early 2026, Amazon has deployed over **1 million robots** across its fulfillment network, nearly matching its 1.1 million U.S. operations employees. Key platforms include Sequoia (sorting), Sparrow (item picking), and Proteus (autonomous floor movement).

Safety-first robotics

50% reduction in recordable incident rates targeted by 2028 through co-bot workstation design and automation of repetitive lifting tasks

Human Impact: Rather than replacing roles, robotics has created 700+ new job categories (e.g., Mechatronics, Robotics Tech) with wages 40% higher than entry-level warehouse roles

3. Governance in social oversight

Ethical AI & bias audits

Automated firing controversy: To address previous criticisms of algorithmically-driven termination decisions, Amazon now subjects all HR algorithms to independent third-party Bias Audits to ensure no discrimination by race, gender, or age. Annual audit results are disclosed in the company's ESG report.

Supply chain transparency

2026 "Sustainable Procurement" Dashboard now mandates that all 3P (Third-Party) sellers provide certified proof of fair labor practices, workplace safety standards, and environmental compliance to remain on the platform. Non-compliant sellers face delisting.

Workforce vs. robots (millions)

Amazon Vulcan: touch-sensing robot improving warehouse safety and efficiency

Turnover is Amazon's most material social liability. However, the $1.6B compensation investment + $2.5B upskilling program, combined with robotics creating 700+ higher-wage job categories rather than net displacement, signals a credible workforce transition.

DCF Valuation Summary

Methodology & Assumptions

- Assumed cost of debt at 6%, terminal growth rate at 3%, risk free rate of 4.229%, equity risk premium of 4.46%, and Beta of 1.38 (assumption)
- Tax Rate was obtained by averaging the rate from the years in which Amazon made a profit
- Other projections were taken from Bloomberg, and Previous data was obtained via Morningstar
- Amount of debt was taken from the Long-Term Debt
- Upside & downside Cases creating using multipliers of base case

Sensitivity Analysis (base case)

WACC \ Growth	2.00%	2.50%	3%	3.50%	4.00%
7.65%	$261.33	$284.79	$313.29	$348.67	$393.74
8.65%	$216.96	$233.04	$251.96	$274.56	$302.03
9.65%	$184.35	$195.93	$209.26	$224.76	$243.01
10.65%	$159.41	$168.08	$177.88	$189.06	$201.91
11.65%	$139.76	$146.43	$153.88	$162.24	$171.70

Base Case & Weighted Average Price Target

Current Valuation (base case)	
Terminal Value	3045086.62
PV of Terminal Value	1921426.8
PV of Present Value	303836.753
PV of EV	2225263.56
- Debt	65648
+ Cash	86810
PV of Equity	2246425.56
Shares	10734.92
Price per share	$ 209.26

Terminal Assumptions	
Valuation Date	3/31/2026
Fiscal Year End	12/31/2026
WACC	9.65%
Terminal Growth Rate	3%

Case Probabilities	
Downside	10%
Base	60%
Upside	30%

Case Probabilities	
Downside	10%
Base	60%
Upside	30%

Base	209.26
Upside	264.96
Downside	159.17
Weighted Avg.	**220.96**

WACC

Cost of Equity (CAPM)	
Risk-free rate	4.23%
Equity beta	1.38
Expected market return	8.69%
Cost of equity	10.38%

Cost of debt	
Interest expense	2274
Debt	65648
Cost of debt	3.46%

WACC	
Cost of equity	10.38%
Weight of equity	86.23%
Cost of debt	6.00%
Weight of debt	13.77%
(1-Tax Rate)	83.84%
WACC	9.65%

Weight of Debt and Equity	Total	Weight
Total Equity	411065	86.23%
Total Long Term Debt(Debt)	65648	13.77%

Comps Analysis

($ in billions)

Company	Price	Shares Outstanding	Total Debt	Total Cash	Enterprise Value
Apple(AAPL)	248.80	14.78	90.51	45.32	3,722.45
Alphabet(GOOGL)	274.34	12.07	59.29	30.71	3,339.86
Meta(META)	525.72	2.53	83.9	35.87	1,378.10
Microsoft(MSFT)	356.77	7.43	57.61	24.3	2,684.11
Walmart(WMT)	122.89	7.97	67.1	10.73	1,035.80
Alibaba(BABA)	122.69	2.39	262.74	128.17	427.80(CNY)

Company	Enterprise Value	Sales	EV/ Sales
Apple(AAPL)	3,722.45	435.62	8.55
Alphabet(GOOGL)	3,339.86	402.84	8.29
Meta(META)	1,378.10	200.97	6.86
Microsoft(MSFT)	2,684.11	305.45	8.79
Walmart(WMT)	1,035.80	713.16	1.45
Alibaba(BABA)	427.80	1016.74	0.42(CNY)
Average EV/Sales			5.73

Company	Enterprise Value	EBITDA	EV/ EBITDA
Apple(AAPL)	3,722.45	152.98	24.33
Alphabet(GOOGL)	3,339.86	176.36	18.94
Meta(META)	1,378.10	103.59	13.30
Microsoft(MSFT)	2,684.11	183.29	14.64
Walmart(WMT)	1,035.80	46.1	22.47
Alibaba(BABA)	427.80	83.69	5.11(CNY)
Average EV/EBITDA			16.47

Company	Enterprise Value	FCF	EV/ FCF
Apple(AAPL)	3,722.45	132.02	28.20
Alphabet(GOOGL)	3,339.86	72.65	45.97
Meta(META)	1,378.10	46.99	29.33
Microsoft(MSFT)	2,684.11	81.92	32.77
Walmart(WMT)	1,035.80	390.2	2.65
Alibaba(BABA)	427.80	94.32	4.54(CNY)
Average EV/CF			23.91

Company	Price	EPS	P/E
Apple(AAPL)	248.80	7.92	31.41
Alphabet(GOOGL)	274.34	10.91	25.15
Meta(META)	525.72	23.98	21.92
Microsoft(MSFT)	356.77	16.04	22.24
Walmart(WMT)	122.89	2.74	44.85
Alibaba(BABA)	122.69	40	3.07(CNY)
Average P/E			24.77

EV-based multiples

Multiple	Amazon Metric	Avg. comp multiple	Implied EV ($B)	Equity Value ($B)	Implied Price/Share
EV/Sales	716.92	5.73	4,104.84	4,126.01	**385.97**
EV/EBITDA	145.73	16.47	2,399.67	2,420.83	**226.46**
EV/FCF*	24.20	23.91	578.59	599.75	**56.10**

Price-based multiple

Multiple	Amazon Metric	Avg. comp multiple	Implied EV ($B)	Implied Price/Share
P/E	7.32	24.77	181.28	**181.28**

Average EV of all comps	$2,361.03
Debt	$65.65
Cash	$86.81
Equity Value	**$2,382.19**
Shares Outstanding	10.69
Price per Share (EV Multiples)	$222.84
Weighted Average	$212.45

Recommendation

HOLD Amazon

Price Target: $220.96 (+5.7%)

Amazon's advantages in AWS AI infrastructure, advertising, and automation are compelling, but at $209, the 5.7% implied upside doesn't justify a BUY. Near-term FCF is limited by $150B+ in 2026 CapEx, AI circular financing poses a risk, and insiders haven't bought shares in nearly three years. Both the DCF ($209) and EV comps ($222) suggest the price is near fair value.

Appendix

Sources

2026 10-K Filing: https://d18rn0p25nwr6d.cloudfront.net/CIK-0001018724/85f3e1a7-bdb4-428e-a980-90bad4117b3d.pdf

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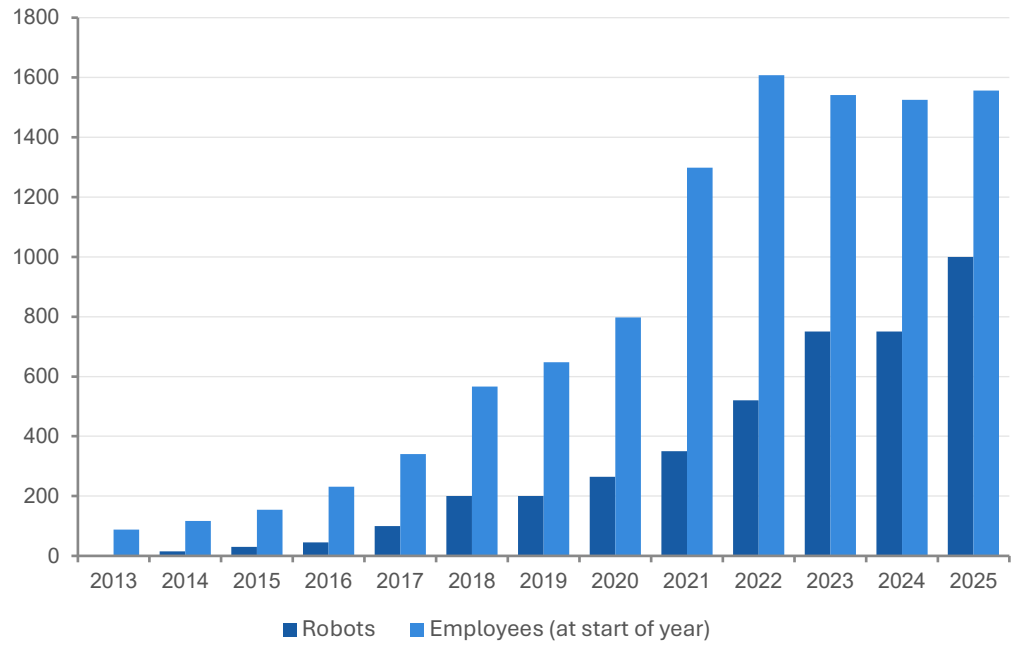
Bloomberg Terminal: Retrieved March 26, 2026

Overview of Amazon AI offerings & services

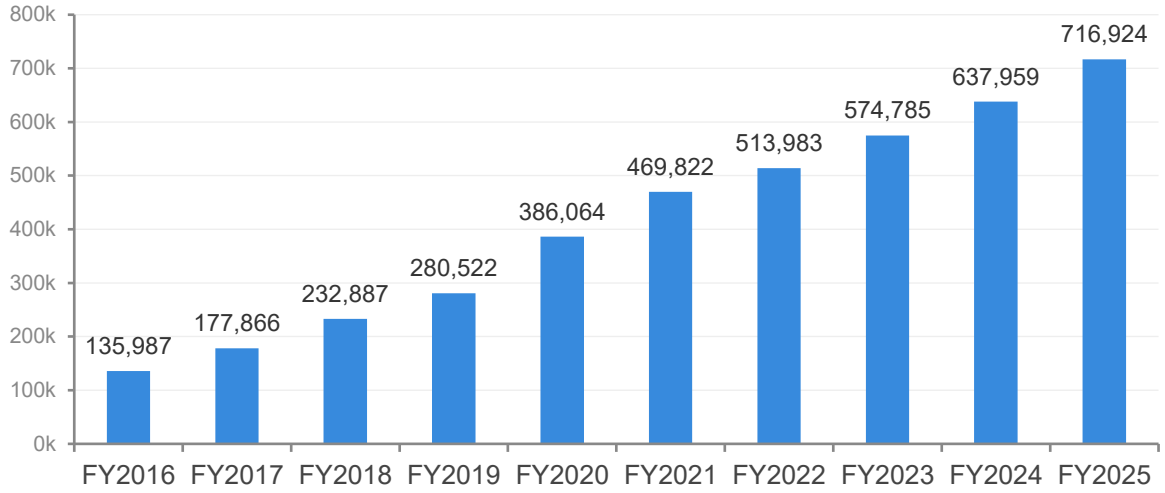
Offering	Category	What it does	Replaces	Key metrics
Trainium	AI training/inference chip	Trains large AI/ML models; Trainium3+ also handles inference. Majority underpinning of Bedrock usage today.	Nvidia GPUs	$10B+ combined run rate (with Graviton), triple-digit YoY growth. 1.4M Trn2 chips landed. Trn2 is 30-40% more price-performant than comparable GPUs. Trn3 launched with 40% improvement over Trn2, expected nearly fully committed by mid-2026. 100K+ companies using Trainium
Graviton	General-purpose CPU	Everyday cloud compute: web servers, databases, containers, microservices. Majority of new EC2 compute uses Graviton.	Intel Xeon / AMD EPYC CPUs	Multi-billion dollar run rate, 50%+ YoY growth. 40% more price-performant than leading x86 processors. Used by 90%+ of AWS's top 1,000 customers
Bedrock	Managed AI platform	API access to foundation models (Claude, Llama, Nova, Mistral, etc.) with fine-tuning and agent deployment tools.	Self-hosted models or direct OpenAI / Google APIs	Multi-billion dollar run rate. Customer spend up 60% QoQ. Includes Nova Forge for custom pre-training and Bedrock Agent Core for enterprise agent deployment.

Workforce and Revenue

Fulfillment Automation & Proteus (Robots)



Revenue Growth (in millions of $)



As of 2026, Amazon has deployed over 1 million robots, which is a 1:1.5 ratio relative to U.S. operations of 1.5 million people.

Amazon is rapidly deploying “Proteus,” its fully autonomous mobile robot, to handle heavy lifting and repetitive tasks. This is targeted to reduce recordable incidents by 50% by 2028, which will lower the massive costs associated with Amazon's 150% historical warehouse turnover rate.

Summary of Upside & Downside Case Assumptions

Segment	Downside	Upside	Downside Reasoning	Upside Reasoning
Online stores	0.50x	1.35x	Macro slowdown + tariff drag on consumer discretionary. Retail growth was already single digits and Amazon themselves guided only 7-11% total revenue growth.	Same-day delivery expansion beyond 2,300 communities, AI-driven personalization lift, and market share gains from weaker competitors
Physical stores	0.40x	1.40x	Whole Foods has seen limited expansion and Amazon Fresh closures signal strategic deprioritization.	Amazon One/Just Walk Out tech rollout + grocery automation. Note that physical retail isn't a strategic priority.
Third-party seller services	0.65x	1.25x	FTC Antitrust Trial could reduce margins	Buy with Prime expansion off-Amazon, Multi-channel fulfillment opening to larger sellers (Walmart, Shopify)
Advertising services	0.70x	1.30x	Consumer spending pullback or recession fears reduce ad growth.	Prime Video ad tiers grow, enhanced ad management across Prime Video, Twitch, Fire TV and third party sites/apps
Third-party seller services	0.65x	1.25x	FTC Antitrust Trial could reduce margins	Buy with Prime expansion off-Amazon, Multi-channel fulfillment opening to larger sellers (Walmart, Shopify)
Subscription services	0.70x	1.30x	Prime subscriber growth slows down in developed markets	Prime keeps its competitive moat and expands into other segments like pharmacy, making attractive bundles
AWS	0.75x	1.15x	Azure/GCP share increases, AI capex cycle peaks.	AI workload accelerates, Trainium adoption beyond Anthropic
Other	0.90x	2.50x	Uncertainty around Amazon Leo (Project Kuiper), etc.	Kuiper satellite launches begin commercial service; other ambitious projects start contributing

Insider Activity Chart

Image from Greg's site: https://insider-activity.vercel.app/?ticker=AMZN

Company insiders (CEO, C-Suite executives, directors) have not been buying shares of Amazon on the open market in almost 3 years.

Although there are many reasons an insider may sell shares (to fund a purchase such as a house), insider buying is often a more relevant signal. Insiders typically buy when they feel the company is being undervalued or has good prospects.